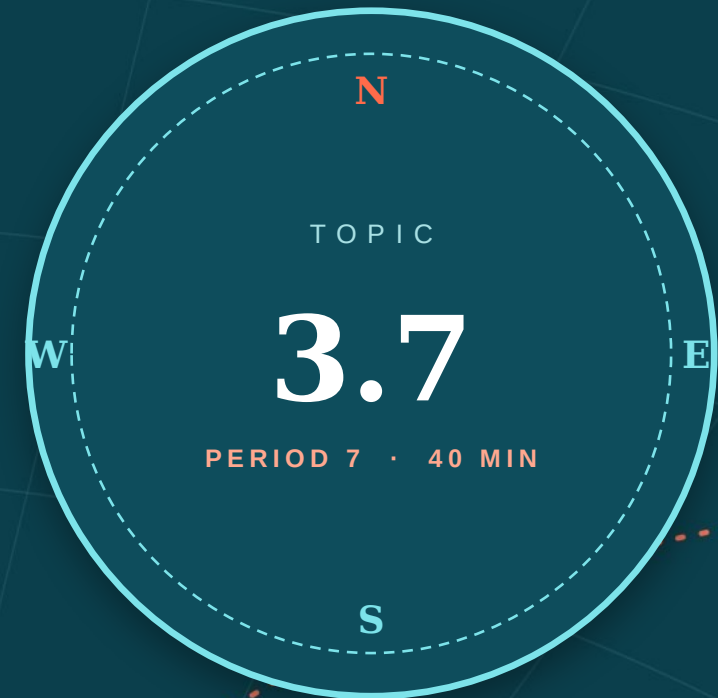


UNIT 3 · TOPIC 3.7

HIP and CTM Checks

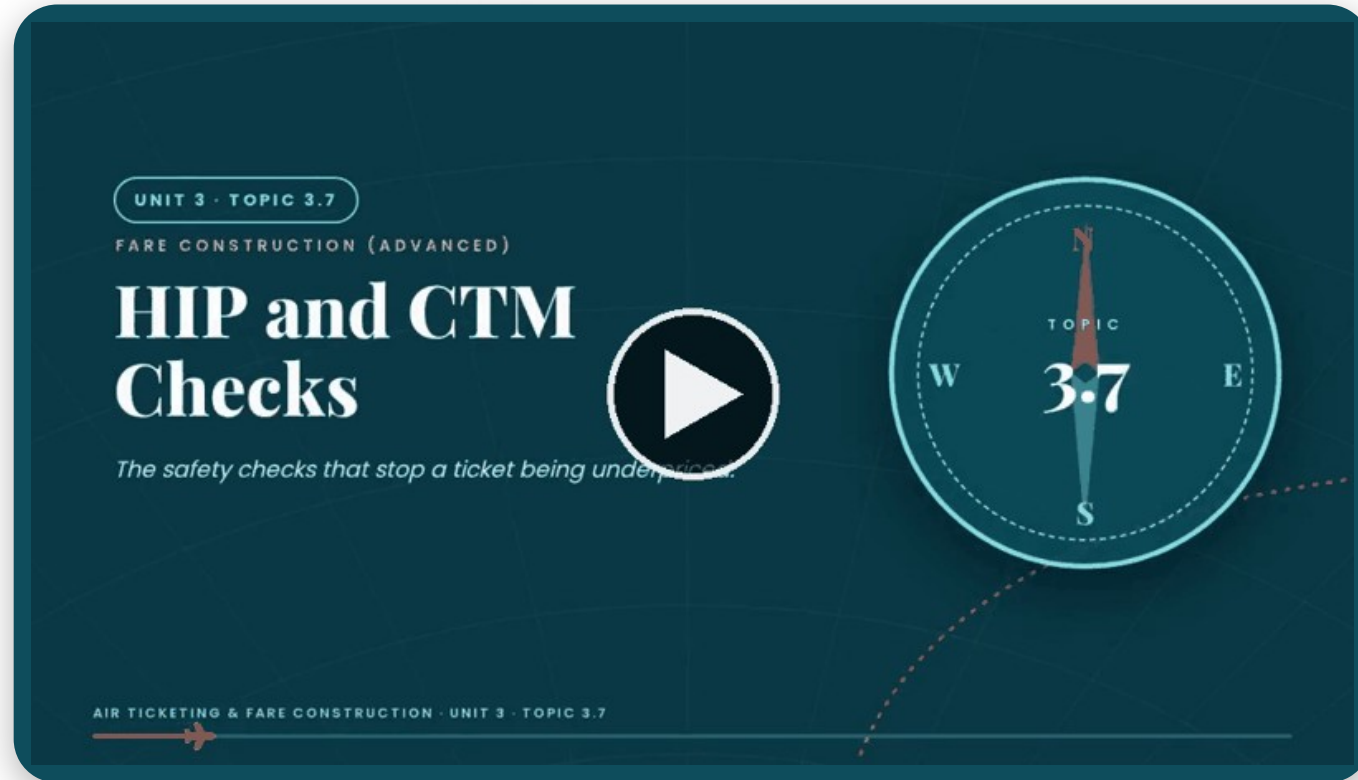
The safety checks that stop a ticket being underpriced.

B.B.A. Aviation Management · Semester III · Unit 3: Fare Construction (Advanced)
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar



TOPIC 3.7

Expedition Preview: Topic Intro



UNIT 3 · TOPIC 3.7

FARE CONSTRUCTION (ADVANCED)

HIP and CTM Checks

The safety checks that stop a ticket being underpriced.

AIR TICKETING & FARE CONSTRUCTION · UNIT 3 · TOPIC 3.7

The graphic features a dark teal background with a faint world map. On the right, a circular compass rose has 'N', 'S', 'E', and 'W' at the cardinal points. The word 'TOPIC' is above the number '3.7' in the center. A large white play button icon is in the middle. A red dashed line curves from the bottom right of the compass towards the bottom left. At the bottom left, a red progress bar with a small red arrow pointing right is shown.

Air Ticketing & Fare Construction · Unit 3: Fare Construction (Advanced) · Topic 3.7

02

TOPIC 3.7

Navigator's Question



THINK ABOUT IT

Can a longer journey ever cost less than a shorter one?
Should airlines allow it?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2–3 answers with the class



TOPIC 3.7

Route Map for Today

1

3.7.1

HIP (Higher Intermediate Point): impact on fare construction and rules

2

3.7.2

CTM: pricing circle trips based on city-pair combinations

3

3.7.3

When to apply HIP and CTM

4

3.7.4

Scenarios where HIP and CTM are most commonly applied



COURSE OBJECTIVES

- Explain the purpose of HIP
- Perform a HIP check
- Perform a CTM check on a circle trip
- Decide which check applies to a journey

Pedagogy: Learning Through Problem-Solving

TOPIC 3.7.1

Higher Intermediate Point (HIP)

**Intermediate points**

Stopover points inside a fare component.

**Higher fare?**

If a fare between any two points in the component (from origin or to destination) is higher than the through fare...

**...charge the higher**

The higher fare becomes the fare for the component.

**PURPOSE**

HIP stops a passenger paying less for a longer journey than for a shorter journey to a point where they actually stop over.



TOPIC 3.7.1

HIP Worked Example

One-way BOM–DXB–LON, stopover in Dubai.

- Through fare BOM–LON.
- Check BOM–DXB and DXB–LON fares.
- DXB–LON is higher than the through fare.
- Charge DXB–LON fare as HIP.



HIP CHECK (illustrative)

BOM-LON (THROUGH)	NUC 800
BOM-DXB	NUC 250
DXB-LON	NUC 900

HIGHEST = DXB-LON NUC 900

FARE CALC:
BOM EK DXB EK LON
M DXBLON 900.00
NUC900.00 END

TOPIC 3.7.2

Circle Trip Minimum (CTM)

**Circle trips only**

Journeys returning to origin by a different route.

**The minimum**

Total fare must be at least the highest round-trip fare from origin to any stopover point.

**Top-up**

If the total is lower, add the difference.

**NOTE ON TERMS**

The lesson plan lists CTM as “City Ticketing Matrix”. In IATA fare construction, CTM stands for Circle Trip Minimum — the check taught here, based on city-pair round-trip fares.



TOPIC 3.7.2

CTM Worked Example

Circle trip BOM–SIN–HKG–BOM.

- Price each component with ½RT fares.
- Find the highest RT fare from origin to any stopover point.
- Compare total with that RT fare.
- If lower, add the difference.

CTM CHECK (illustrative)

```
1/2RT BOM-SIN          NUC 220
1/2RT BOM-HKG (inbound) NUC 300
TOTAL                  NUC 520

RT BOM-SIN      NUC 440
RT BOM-HKG      NUC 600  <- highest

CTM 600 > 520 -> ADD NUC 80
FARE = NUC 600
```

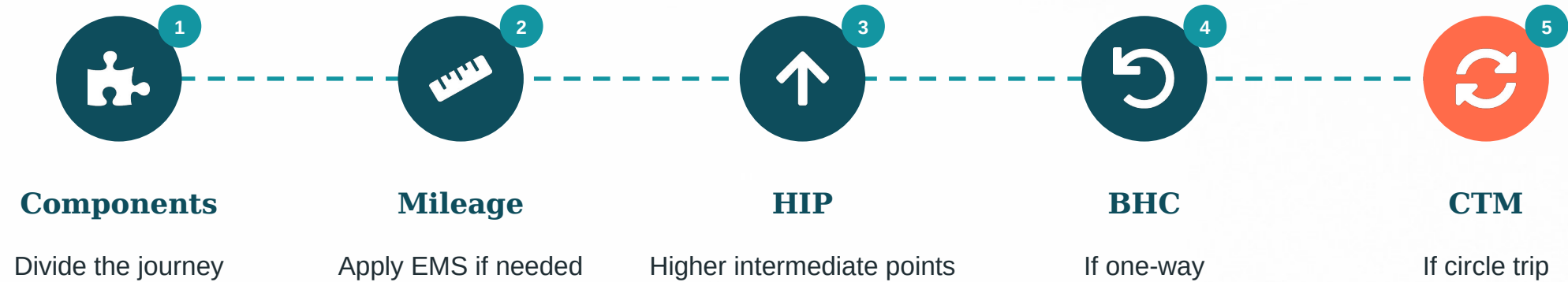
TOPIC 3.7.3

Which Check, When?

Check	Journey type	Purpose
HIP	OW, RT, CT, OJ components	Higher fare between intermediate points
BHC	One-way	Backhaul protection
CTM	Circle trip	Minimum = highest RT from origin
Mileage	All international	TPM vs MPM, EMS

TOPIC 3.7.3

Order of Checks



TOPIC 3.7.4

Common Real-World Scenarios



Gulf Stopovers

India–Europe via Dubai/Doha with stopover → HIP check.



Asian Circuits

India–SE Asia–East Asia–India → CTM check.



Backtracking One-Ways

Routing past destination → BHC.



GDS Auto-Pricing

Checks run automatically — agents verify manual fares.



TOPIC 3.7.4

Why It Matters

ADM

missed HIP/CTM = underpriced ticket = debit memo

Manual

complex fares still priced by hand sometimes

Exams

HIP & CTM are favourite exam questions

TOPIC 3.7

Navigation Exercise: Check the Price



PEDAGOGY

**Learning Through
Problem-Solving**

TIME · 12 min

FORMAT · Pairs

1 Pairs receive 4 journeys with fare tables.

2 Identify which checks apply (HIP, BHC, CTM).

3 Calculate the final NUC fare for each.

4 Swap answers with another pair and verify.

TOPIC 3.7

[Click to reveal each answer](#)

Position Check Quiz

Q1**HIP stands for...**

- A) High Interest Price
- B) Higher Intermediate Point
- C) Half International Price
- D) Hub Interline Point

ANSWER

B**Q2****CTM applies to...**

- A) One-way
- B) Circle trips
- C) Group fares
- D) Domestic only

ANSWER

B**Q3****CT total NUC 500; highest RT from origin NUC 560. Final fare?**

- A) NUC 500
- B) NUC 560
- C) NUC 1,060
- D) NUC 60

ANSWER

B**Q4****Through fare NUC 700; intermediate fare NUC 820. With HIP the fare is...**

- A) NUC 700
- B) NUC 820
- C) NUC 1,520
- D) NUC 120

ANSWER

B

DESTINATION REACHED

Key Takeaways

- ✓ HIP: charge the higher fare between intermediate points
- ✓ CTM: circle trips must cost at least the highest RT from origin
- ✓ BHC protects one-way backhauls
- ✓ Missed checks cause underpricing and ADMs

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT WAYPOINT

Topic 3.8 — Routing Restrictions

Thank you · Questions?